

Procure Space ETF

SPCX NASDAQ

Hold	\$120.71 ▲ 5.04%	12M Price Target \$135.00	52-Week Range \$104.83 – \$225.64	Market Cap \$1.59T
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SPCX: Space ETF Rebounds as SpaceX Weathers Lockup Test

WHAT HAPPENED

- SPCX popped 5% today after a brutal week (down to \$108 mid-week, now clawing back to \$120). The rebound is tied directly to SpaceX — its biggest holding — surviving a lockup expiration (when early investors are finally allowed to sell their shares, which usually crashes the price). SpaceX held up, so the whole space complex exhaled.
- Rocket Lab (another SPCX holding) surged on a successful Electron mission, and IBD upgraded SpaceX exposure names. Retail is buying the dip aggressively — that's why volume was 250M+ shares on Wednesday.

WHY IT MATTERS

This week was a stress test and SPCX passed — barely. The fact that SpaceX absorbed both an earnings scare AND a lockup expiration without collapsing tells you the private-market bid for space assets is real and sticky. That's a big deal because SPCX is essentially a leveraged bet on the "space economy" thesis holding together, and this week proved the thesis has staying power even under pressure. But at 13% of its 52-week range and still \$100+ below the highs, the market is telling you the froth from earlier in the cycle is gone — this is now a show-me story where actual government contracts and revenue need to do the talking.

POLICY & POLITICAL WATCH

The big political catalyst is the FY2027 defense authorization working through Congress right now — the Space Force budget is proposed to grow ~14% YoY, and SPCX holdings like Rocket Lab, Iridium, and Maxar are direct beneficiaries of that spending. Also watch the Trump administration's "Golden Dome" missile defense initiative (announced earlier in 2026) — it requires massive satellite constellations, which is a straight tailwind for the launch and satellite names in this ETF. On the risk side: any FCC spectrum ruling that limits satellite broadband (affects Iridium, EchoStar) or export controls tightening on space tech to allied nations could clip growth.

IS IT EXPENSIVE?

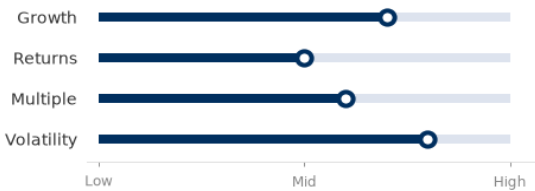
SPCX trades at roughly a mid-teens multiple on its underlying holdings' forward earnings — meaning investors are paying about \$15 for every \$1 of expected profit across the basket. That's not cheap for what's essentially a thematic bet, but it's reasonable given the defense space budget is compounding double-digits. The tell: SPCX is only at 13% of its 52-week range, so the market has already de-rated (marked down) this basket significantly from the peak — a lot of the froth is out.

WHAT COULD GO WRONG

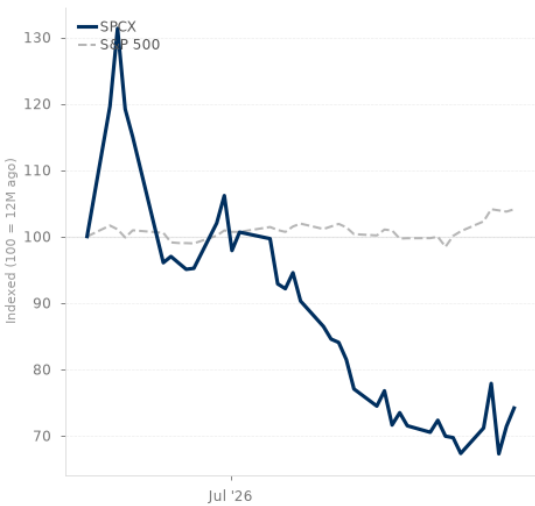
Key Data

Price (USD)	\$120.71
12M Price Target	\$135.00
Upside / (Downside)	+11.8%
Market Cap	\$1.59T
FY2026E Revenue	—
FY2027E Revenue	—
FY2026E EPS	N/M
FY2027E EPS	N/M
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$135.00	\$122.00	\$108.00
6 Months	\$160.00	\$130.00	\$100.00
1 Year	\$190.00	\$140.00	\$95.00
2 Years	\$240.00	\$170.00	\$90.00
5 Years	\$350.00	\$220.00	\$80.00
10 Years	\$550.00	\$320.00	\$70.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+7% over 5 days) is leading — AI capex is still the dominant flow story, and space adjacent-tech benefits. Industrials (+3% 5D) are also warming as defense spending expectations firm up.

COOLING OFF: Healthcare and Real Estate are lagging — rate uncertainty and drug pricing pressure are the culprits. Not directly relevant to SPCX but tells you money is rotating OUT of defensives.

ROTATION WATCH: Money is flowing from defensives into tech and industrials — that's a friendly setup for SPCX because space sits at the intersection of both. The bullish options flow (put/call ratio of 0.60 means way more call buyers than put buyers) confirms institutions are positioning for upside.

RELATED PLAY: If SPCX runs, look at ITA (defense ETF) and pure-play names like RKLB (Rocket Lab) directly — you get similar exposure with less SpaceX concentration risk.

WHO'S WINNING IN THIS SPACE?

- RKLB (Rocket Lab): Successful Electron mission today plus IBD noting momentum — they're winning launch market share and have a growing defense backlog.
- SpaceX (private, but the anchor holding): Weathered a nasty lockup expiration and earnings volatility — signals private-market conviction is holding.

SPCX CONTEXT: SPCX is lagging its best individual holdings because it's diluted by weaker names (some legacy satellite operators). If you want the pure momentum, individual names beat the ETF — but the ETF is safer if you don't want to pick winners.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the long-term space thesis but this ETF's SpaceX concentration and retail-driven volatility make it a bumpy ride. Cautiously optimistic, not pounding the table.

POSITION SIZE: 2-4% of portfolio — enough to matter if space compounds for a decade, small enough that a 30% drawdown (which is possible) doesn't wreck you.

ENTRY POINTS: I'd add on pullbacks to \$108-112, which is where it bottomed this week. Chasing at \$120 after a 5% pop isn't ideal.

TIME HORIZON: 18-36 months — the catalyst I'm waiting for is either a SpaceX IPO announcement or a formal Space Force multi-year contract cycle. Either unlocks the next leg.

WHEN TO BAIL: If the defense budget gets cut by more than 15% in reconciliation, OR if SpaceX's next private funding round prices flat/down — that's a fundamental signal the story is breaking.

HEDGING: Own a broad defense ETF alongside it (like ITA) to soften the blow if space-specific sentiment sours — you still get defense budget exposure without the single-name risk.